

EQUITY RESEARCH · COMPANY DEEP DIVE

Advanced Micro Devices, Inc. (AMD.US)

HOLD

Composite · Valuation: SELL
Blended Target: \$420.18
Implied upside: -19.4%

Technology · Semiconductors
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$521.58

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$420.18 (-19.4% vs \$521.58); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

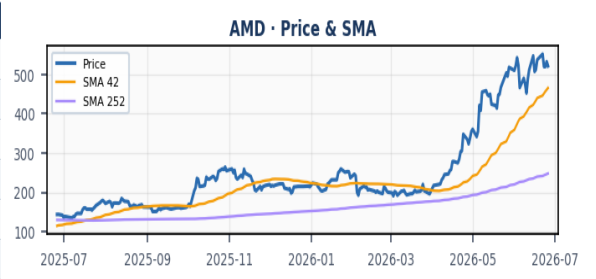
Composite: HOLD (score -0.14, confluence 75%) · TA: BULLISH · Quant: POSITIVE · FSA: Strong. Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Advanced Micro Devices, Inc. (AMD) — Technology. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and... **SELL** rating; blended target \$420.18. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & PRICE TREND

Item	Value	Item	Value
Market Cap	\$850.49B	Shares Out.	1630.6M
52-Week Range	\$133.50 – \$562.99	P/E (TTM)	172.1x
P/B	13.2x	Beta	2.49
Avg Volume	37.58M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$37.45B	Rev Growth	+37.8%
Op. Margin	14.4%	FCF (TTM)	\$6.74B



Page 2 of 3 · Advanced Micro Devices, Inc. (AMD) · Financials · Statement Analysis · Technical · Quantitative · 2026-06-28

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	25,785	34,639	47,733	60,721	72,741
Revenue Growth (%)	N/A	34.3%	37.8%	27.2%	19.8%
Net Income (\$M)	1,641	4,335	5,974	7,599	9,103
Net Income Growth (%)	N/A	164.2%	37.8%	27.2%	19.8%
Gross Margin (%)	49.4%	49.5%	53.1%	53.1%	53.1%
Net Margin (%)	6.4%	12.5%	12.5%	12.5%	12.5%
ROE (%)	2.9%	6.9%	9.5%	10.9%	12.5%
EPS (\$)	1.01	2.66	3.66	4.66	5.58
Book Value / Share (\$)	35.30	38.64	38.64	42.60	44.73
P/E (x)	518.27	196.19	142.37	111.92	93.42
P/B (x)	14.77	13.50	13.50	12.24	11.66
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.35). Strengths: Revenue CAGR 13.6% (3Y); Current ratio 2.85x; Conservative balance sheet. Risks: Operating margin deteriorating. 3Y projection: ~25.0% revenue growth; Y3 revenue \$73.15B.

Metric	Value	Assessment
FSA Health Score	+0.35	Strong
Revenue CAGR (3Y)	13.6%	
Net Income CAGR (3Y)	48.6%	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Deteriorating	
Current Ratio	2.85x	Liquidity
Debt / Equity	6%	Leverage
ROE	8.1%	Profitability
FCF / Net Income	1.55x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$46.82B / \$73.15B	@25.0%
Proj. Net Income (Y1 / Y3)	\$5.32B / \$8.32B	Margin × (1–tax)

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$465.45	Short-term trend	12m Momentum	+263.0%	
SMA (252d)	\$247.84	Long-term trend	3m Momentum	+158.2%	
RSI (14d)	59.3	Momentum oscillator	Ann. Volatility	56.0%	
Trend	Bullish		Sharpe Ratio	0.70	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-65.4%	
Death Cross (20d)	No		Rel. Strength vs SPY	+416.5%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$465.45, SMA252=\$247.84	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	41.3%	B&H; 57.2%

INDUSTRY CONTEXT

Industry Snapshot — Technology / Semiconductors. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and Embedded. The company offers artificial intelligence (AI) accelerators, microprocessors, and graphics processing units (GPUs) as standalone devices or as incorporated...

Trends: Strong top-line growth (37.8% YoY); Healthy operating margins (14.4%); Above-market volatility (β=2.49)

Risks: Premium valuation (P/E: 172.1x); High market sensitivity in downturns

Page 3 of 3 · Advanced Micro Devices, Inc. (AMD) · Valuation · Peers · Q4 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$47.99	-90.8%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	High-growth technology (Comps-anchored; DCF excluded when distorted): Comps 85%, Analyst 15%
Comps — 52-week range anchor	\$406.02	-22.2%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$164.67	-68.4%	—	Peer median 36.7x
Comps — P/S (peer median)	\$299.57	-42.6%	—	Peer median P/S 13.0x
Comps — Blended (median of multiples + uplift anchors)	\$406.02	-22.2%	85%	Included in blend
Analyst consensus (Yahoo Finance)	\$500.40	-4.1%	15%	Included in blend
Blended target (weighted)	\$420.18	-19.4%	100%	Comps 85% + Analyst 15%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	17.71%
Terminal g	4.00%
FCFE growth	13.23%
Base FCFE	\$6.74B
PV explicit (5Y)	\$32.57B
PV terminal	\$45.67B
Equity value (adj.)	\$78.25B
Implied price	\$47.99
vs. current	-90.8%

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and Embedded. The company offers artificial intelligence (AI) accelerators, microprocessors, and graphics processing units (GPUs)...

Key Trends

- Strong top-line growth (37.8% YoY)
- Healthy operating margins (14.4%)
- Above-market volatility (β=2.49)
- Sector: Technology | Industry: Semiconductors

Risk Factors

- Premium valuation (P/E: 172.1x)
- High market sensitivity in downturns

PEER COMPARISON

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
INTC	Intel Corporation	\$644.94B	N/A	47.3x	-5.9%	+7.2%
QCOM	QUALCOMM Incorporated	\$199.62B	20.4x	15.8x	22.3%	-3.5%
AVGO	Broadcom Inc.	\$1.74T	60.6x	42.3x	38.8%	+47.9%
TXN	Texas Instruments Inco	\$259.76B	48.8x	31.0x	29.1%	+18.6%
AMD*	Advanced Micro Devices	\$850.49B	172.1x	113.3x	13.4%	+37.8%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.